

CAPITAL MARKETS

Starhill Phase II Shows Affordable Housing Works When the Capital Stack Is Built for It

The \$172M Bronx project reveals how subsidy, debt, and operating discipline align to produce 244 units.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in the Starhill Phase II lottery announcement is not the \$777/month studio rent. It is the \$172 million total development cost for 244 units, or roughly \$705,000 per apartment. That figure is not a cost overrun. It is the price of building deeply affordable housing in New York City when the capital stack is assembled correctly.

The project, developed by Services for the UnderServed (S:US) and Bronx Pro Group at 51 Featherbed Lane in Morris Heights, includes 74 supportive housing units funded through the city's 15/15 Supportive Housing Initiative. The remaining 170 units are reserved for households earning 40, 50, and 60 percent of area median income. The financing comes through HPD and HDC's ELLA term sheet, a program established in June 2024 to streamline the capital stack for affordable developments.

This is not a market-rate deal dressed in affordable clothing. It is a purpose-built capital structure where every layer serves a specific function: tax-exempt bonds, low-income housing tax credits, city subsidy, and a developer fee that must be disciplined enough to let the math work at \$705,000 per key.

The tension is straightforward. Private capital cannot replicate this. No conventional lender would underwrite a 244-unit rental building in Morris Heights with 30 percent of units reserved for formerly homeless tenants at rents that top out at \$2,142 for a three-bedroom. The debt service coverage would not clear. The exit would be speculative. The risk-adjusted return would not compete with other uses of equity.

What makes Starhill Phase II investable is the subsidy layer. The 15/15 initiative provides operating funding for the supportive units, removing the income volatility that would otherwise make the building unbankable. The ELLA term sheet reduces execution risk by standardizing the financing terms across HPD and HDC. The tax credits create a market for equity from corporate investors seeking Community Reinvestment Act credit or ESG mandates.

The cast of parties reveals the mechanism. S:US, the nonprofit sponsor, brings the mission and the operating expertise for supportive housing. Bronx Pro Group brings the development track record and the relationships with city agencies. Marvel Architects designed a building that meets the design standards required for tax credit allocation. The city provides the subsidy and the bond cap. The equity investor buys the tax credits at a price that reflects the risk of the building's cash flow.

Each party's constraint is different. S:US needs the operating subsidy to cover the supportive units. Bronx Pro needs the developer fee to be sufficient to justify the multi-year entitlement and construction timeline. The city needs the project to deliver on its housing production targets without exceeding its budget. The equity investor needs the tax credits to be allocated and the building to lease up on schedule.

The claim here is that the Starhill Phase II capital stack is not a template for the broader market. It is a demonstration of what is required to produce affordable housing at scale in a high-cost city. The \$172 million cost reflects land acquisition, demolition of the prior building, construction, soft costs, and financing fees. It also reflects the reality that building in the Bronx is not cheap, even when the land was already owned by the sponsor.

The reader consequence for owners, lenders, and capital partners is this: if you are underwriting affordable housing, you must understand the subsidy layer as a form of credit enhancement. The operating support for the supportive units is not a grant. It is a revenue stream that makes the building's cash flow predictable enough to support debt. The ELLA term sheet is not a bureaucratic formality. It is a risk-reduction tool that compresses the timeline between financing application and closing.

For developers considering similar projects, the open question is whether the city's commitment to the 15/15 initiative and the ELLA framework will survive the next mayoral administration. The program was established under Mayor de Blasio and continued under Mayor Adams. The next budget cycle will test whether the political will to fund supportive housing operating subsidies remains intact.

For lenders, the question is whether the tax credit equity market will remain deep enough to absorb the volume of credits generated by projects like Starhill Phase II. Corporate tax reform in 2017 reduced the effective price of low-income housing tax credits, but the market has adapted. A change in corporate tax rates or CRA requirements could shift the demand curve.

The Starhill Phase II lottery is not a market signal. It is a policy signal. It says that the city is willing to commit subsidy, bond cap, and operating support to produce housing at rents that the private market cannot match. The capital stack works because the subsidy layer absorbs the risk that private capital cannot price.

The next test is not whether the building leases up. It is whether the next project can replicate the capital stack without the same depth of subsidy. That is the question that will determine whether New York City's affordable housing pipeline is a production machine or a series of one-off deals.

SOURCES

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<https://www.6sqft.com/lottery-opens-for-169-affordable-apartments-in-morris-heights-bronx-from-777-month/>

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